

Profit Niti AI CFO Report

1 Executive Overview — Business Health Assessment

High-level performance summary and key indicators

Performance Summary

The business is in a critical state, operating at a significant and persistent loss. For the year-to-date 2024-2025, the company reported a net loss of ₹2,059 million against sales of ₹3,715 million, resulting in a devastating net profit margin of -55.4%. The balance sheet shows negative total equity of ₹-326 million, indicating that accumulated losses have eroded the shareholder capital. While there was a positive spike in sales to ₹1,535 million in March 2025, costs remain unsustainably high, leading to a gross margin of -31.6% that month.



Strengths & Positives

- **Strong Revenue Generation:** Achieved peak monthly sales of ₹1,535 million in March 2025, demonstrating market demand.
- **Healthy Cash Balance:** Maintains a robust cash reserve of over ₹217 million, providing a crucial liquidity buffer.
- **Reducing Long-term Debt:** Secured long-term borrowings decreased from ₹383 million to ₹266 million, improving the debt profile.



Areas for Improvement

- **Severe Profitability Crisis:** Cost of Goods Sold (COGS) consistently exceeds revenue, resulting in deeply negative gross margins (e.g., -88% in Jan 2025).
- **Negative Shareholder Equity:** Total equity is negative ₹-326 million, signaling technical insolvency and eroded net worth.
- **Poor Working Capital Management:** High accounts receivable (₹447 million in April) and low payable days (0.16 days) strain cash flow.



CFO Recommendation

Priority Action

Immediately launch a comprehensive cost restructuring program to address the core issue where COGS exceeds revenue. Prioritize renegotiating supplier contracts, optimizing inventory to reduce holding costs, and reviewing pricing strategies to ensure each sale contributes positively to gross margin.